

Simple diagnostic for mental accounting bias: On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

I tend to categorize my investments in various accounts, for example, leisure, bill pay, college funding, etc.

Answering 3 to 5 shows a tendency toward mental accounting bias.

Advice for Preservers

After reviewing this section, readers might correctly conclude that Preservers are difficult to advise because they are driven mainly by emotion. This is true; however, they are also greatly in need of good financial advice. Advisors should take the time to interpret behavioral signs provided to them by Preserver clients. Preservers need “big picture” advice, and advisors shouldn’t dwell on details like standard deviations and Sharpe ratios or else they will lose the client’s attention. Preservers need to understand how the portfolio they choose to create will deliver desired results to emotional issues such as family members or future generations. Once they feel comfortable discussing these important emotional issues with their advisor, and a bond of trust is established, they will take action. After a period of time, Preservers are likely to become an advisor’s best clients because they value greatly the advisor’s professionalism, expertise, and objectivity in helping make the right investment decisions.

FOLLOWER

Basic type: Passive

Risk tolerance level: Low to medium

Primary bias: Cognitive

Followers are typically passive investors who do not have their own ideas about investing. They often follow the lead of their friends and colleagues in investment decisions, and want to be in the latest, most popular investments without regard to a long-term plan. One of the key challenges of working with Followers is that they often overestimate their risk tolerance. Advisors need to be careful not to suggest too many “hot” investment ideas—Followers will likely want to do all of them. Some don’t like, or even fear, the task of investing, and many put off making investment decisions without professional advice; the result is that they maintain, often by default, high cash balances. Followers generally comply with professional advice when they get it, and they educate themselves financially, but can